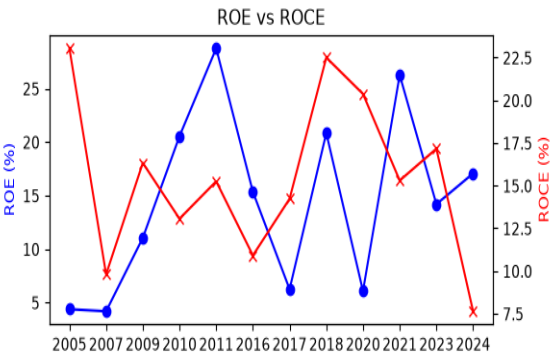
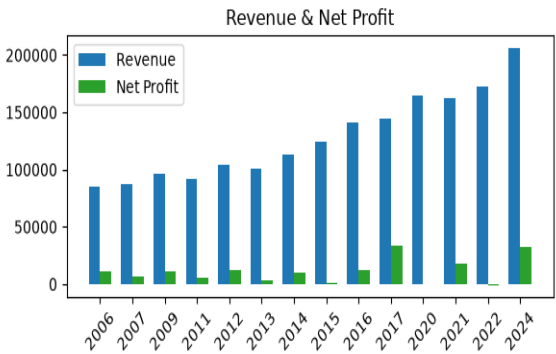
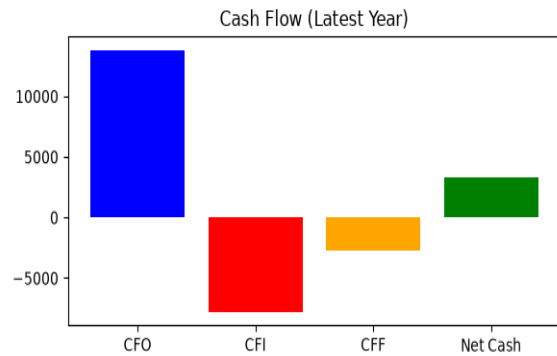
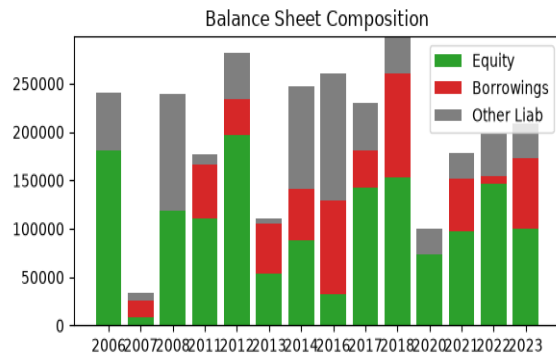


Bajaj Holdings & Investment Ltd (BAJAJHOLDING)

|         |                 |            |                |     |       |
|---------|-----------------|------------|----------------|-----|-------|
| Revenue | Rs. 206470.3 Cr | Net Profit | Rs. 32686.7 Cr | OPM | 29.2% |
| ROE     | 17.1%           | ROCE       | 7.6%           | D/E | 2.76  |





## Capital Allocation Pattern: Reinvestor

### Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

### Cons:

- Debt-to-equity ratio of 2.8 is elevated for a non-financial company and warrants monitoring
- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital